

EQUITY RESEARCH

NVIDIA CORPORATION

NVDA | Technology

Rating: Buy

Current: \$213.07 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$5,178.67B
P/E (Fwd)	37.75
P/B Ratio	28.81

ROE	76.33%
Dividend Yield	0.02%
52W Range	\$104.08 - \$216.83

Investment Thesis

NVIDIA has delivered exceptional financial momentum, with revenue expanding at a 68.3% CAGR to \$215.9 billion in fiscal 2026, driven by insatiable AI infrastructure demand that has propelled EBITDA margins to nearly 67% and positioned the company as the dominant force among semiconductor peers. The company's operating leverage continues to compound, with SG&A; as a percentage of revenue declining from 9.0% in 2023 to just 2.1% in 2026, while EPS has grown from \$0.18 to \$4.93 over the same period, reflecting disciplined cost management alongside explosive top-line growth. Trading at a forward EV/EBITDA of approximately 31x against projected 2027 EBITDA approaching \$184 billion, NVIDIA commands a premium valuation that appears increasingly justified by its widening competitive moat and sustained margin expansion trajectory relative to AMD and Intel.

Company Overview

NVIDIA Corporation (NASDAQ: NVDA) is a Santa Clara-based technology company originally founded in 1993 as a graphics processing unit (GPU) designer. Over the past decade, the company has undergone a profound strategic transformation, evolving from a gaming-focused semiconductor firm into the dominant infrastructure provider powering the global artificial intelligence revolution. NVIDIA operates primarily through two segments: Compute and Networking, which serves data center, AI, and professional visualization customers, and Graphics, which addresses gaming and consumer markets.

NVIDIA's core product portfolio centers on its GPU architectures, including the widely adopted Hopper generation and the next-generation Blackwell platform. These chips serve as the computational backbone for training and inferring large language models and other AI workloads. Beyond hardware, NVIDIA has cultivated a deeply integrated software ecosystem through its CUDA parallel computing platform, which creates substantial switching costs and entrenches the company within enterprise and hyperscaler workflows. Additional offerings include the DGX server systems, NVLink interconnects, networking solutions acquired through Mellanox, and the DRIVE platform targeting autonomous vehicles.

NVIDIA's market position is virtually unrivaled in AI accelerator silicon. The company commands an estimated 70 to 90 percent share of the data center GPU market, with hyperscalers such as Microsoft, Google, Amazon, and Meta representing its largest demand drivers. This dominance is reflected in the financial performance, which has been nothing short of extraordinary. Revenue grew from approximately 27 billion dollars in fiscal 2023 to over 215 billion dollars in fiscal 2026, representing a four-year compound annual growth rate of 68.3 percent. EBITDA margins expanded dramatically from 22.2 percent in fiscal 2023 to nearly 67 percent by fiscal 2026, illustrating exceptional operating leverage as the business scaled.

Compared to semiconductor peers AMD and Intel, NVIDIA's EBITDA trajectory is in a separate category entirely. While AMD generated roughly 7.3 billion dollars in EBITDA in fiscal 2025 and Intel posted 14.4 billion dollars, NVIDIA delivered 86.1 billion dollars in the same period. The company's EV/EBITDA multiple has compressed from over 81 times in fiscal 2023 to approximately 31 times in fiscal 2026, suggesting the market increasingly views NVIDIA's earnings power as durable rather than cyclical. Forward estimates project continued revenue and earnings per share growth through fiscal 2027, with EPS expected to reach 5.88 dollars, supporting a gradually de-rating but still premium valuation profile.

Investment Overview

NVIDIA Corporation (NVDA) Investment Update

NVIDIA continues to demonstrate exceptional financial performance, cementing its position as the dominant force in AI infrastructure. Revenue surged from \$60.9 billion in fiscal 2024 to \$130.5 billion in fiscal 2025 and further to \$215.9 billion in fiscal 2026, representing a four-year CAGR of 68.3%. This trajectory reflects extraordinary demand for the company's data center GPU platforms, particularly the Hopper and Blackwell architectures that have become the backbone of global AI training and inference workloads.

Profitability metrics are equally compelling. EBITDA margins expanded from 58.4% in fiscal 2024 to 66.9% in fiscal 2026, reflecting powerful operating leverage as revenue scale outpaces cost growth. SG&A as a percentage of revenue has declined sharply from 9.0% in fiscal 2023 to just 2.1% in fiscal 2026, underscoring disciplined expense management. EPS has grown from \$0.18 in fiscal 2023 to \$4.93 in fiscal 2026, with estimates projecting continued growth toward \$5.88 by fiscal 2027.

Key growth drivers include hyperscaler capital expenditure commitments, sovereign AI infrastructure buildouts, and expanding enterprise adoption of accelerated computing. NVIDIA's software ecosystem, including CUDA and the broader AI Enterprise platform, reinforces competitive moats and supports recurring revenue streams.

Against peers, NVIDIA's EV/EBITDA multiple has compressed meaningfully from 81x in fiscal 2023 to approximately 31x in fiscal 2026, suggesting improving value relative to earnings power despite premium positioning versus AMD and Intel.

The primary risks include potential demand normalization, export restrictions on advanced chips, and increasing competition from custom silicon developed by hyperscalers. Nevertheless, the structural AI investment cycle supports a constructive long-term outlook.

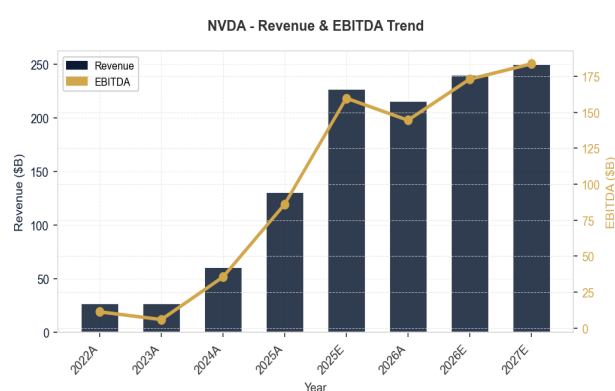
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



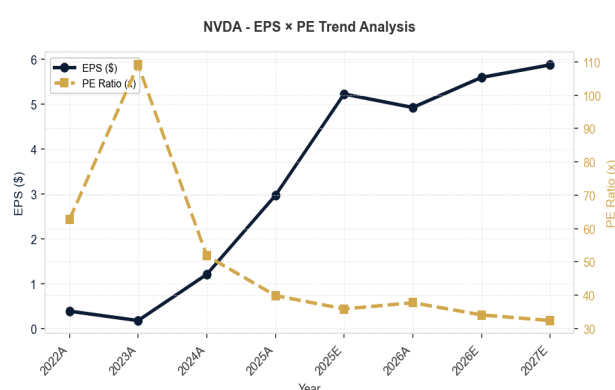
Source: Company Filings

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.75



Source: Company Filings

Valuation Analysis

NVIDIA Valuation Analysis

Current Valuation Metrics

NVIDIA trades at a forward P/E of approximately 35.9x on 2025 estimated earnings of \$5.23 per share, declining to 34.1x and 32.4x on 2026 and 2027 estimates respectively. The EV/EBITDA multiple has compressed significantly from a peak of 81.0x in 2023 to approximately 33.8x in 2025 and 31.4x in 2026, reflecting the dramatic earnings growth the company has delivered. EBITDA margins have expanded from 22.2% in 2023 to 66.9% in 2025 actual results, with estimates projecting further improvement toward 73.5% by 2027, underscoring the operating leverage embedded in NVIDIA's data center business model.

Peer Comparison

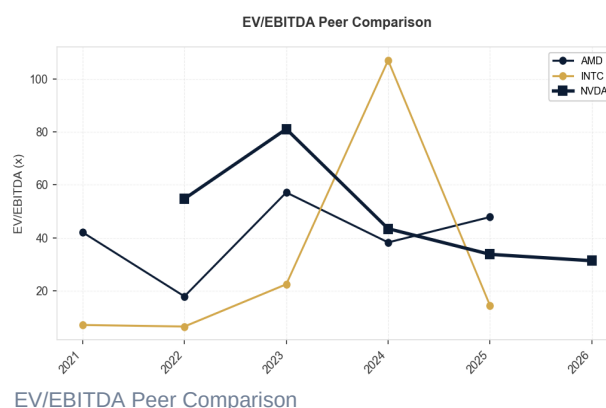
Relative to peers, NVIDIA commands a meaningful premium to both AMD and Intel on EV/EBITDA. AMD trades near 47.8x in 2025 despite generating only \$7.3 billion in EBITDA versus NVIDIA's \$86.1 billion, suggesting AMD's multiple reflects growth optionality rather than earnings power. Intel, facing structural headwinds, trades at a steep discount of 14.5x. NVIDIA's premium is justified by its dominant GPU market position, accelerating AI infrastructure demand, and superior margin profile, which no peer currently replicates at scale.

Fair Value Assessment

Given projected EPS of \$5.23 to \$5.88 across the estimate period and a revenue CAGR of 68.3% historically moderating to mid-single digits by 2027, a fair value range of \$175 to \$210 per share appears reasonable, applying a 33x to 40x forward earnings multiple. Multiple compression risk remains the primary downside factor as growth normalizes, though margin expansion and earnings quality provide meaningful valuation support.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

NVIDIA Corporation (NVDA) Summary - April 28, 2026

NVIDIA continues to dominate the AI infrastructure landscape, with its stock approaching all-time highs near a \$5.2 trillion market cap. The company's Blackwell platform is driving exceptional data center and gaming revenue growth, while the next-generation Rubin chip architecture signals a sustained product roadmap that keeps competitive moats wide. Broader partner deployments, such as Vultr's integration of NVIDIA Nemotron 3 Nano

Omni for enterprise AI agent systems, underscore deepening ecosystem lock-in across cloud and multimodal workloads.

A mild headwind emerged Tuesday after a Wall Street Journal report raised concerns about OpenAI missing internal user and revenue growth targets, briefly rattling the AI infrastructure complex and causing modest pressure on NVDA shares. However, market participants appear to view this as temporary noise, with options traders actively positioning for a return to record highs in the near term.

Financially, NVIDIA's trajectory remains exceptional. Actual revenue surged from roughly \$27 billion in 2023 to \$216 billion in fiscal 2026, a CAGR of 68.3%. EBITDA margins expanded dramatically to nearly 67%, with estimates projecting margins approaching 73-74% through 2027. EPS has grown from \$0.18 in 2023 to \$4.93 in 2026, with estimates reaching \$5.88 by 2027. The forward PE compresses steadily toward 32x, suggesting the valuation story becomes more compelling as earnings scale. Versus peers AMD and Intel, NVIDIA's EBITDA advantage is now overwhelming.

Retail sentiment reflects broad enthusiasm, with combined buzz scores near 80 out of 100 and bullish positioning between 61-62% on X.com and Polymarket, though Reddit skews more cautious at 36% bullish, indicating some valuation debate at current levels. Overall, the investment case remains constructive for long-term holders, with near-term volatility tied to AI demand signals from hyperscaler customers.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 70.5%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 72.0%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 73.5%

Confidence Intervals:

- Revenue: \$176.5B - \$323.4B (95% confidence)
- EBITDA: \$129.7B - \$237.7B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for NVDA

Positive Catalysts (Upside Potential)

- Market (2026-04-28): Traders bet Nvidia's stock will return to record highs soon
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): NVDA's Blackwell Platform Boosts its Top-Line Growth: What's Ahead?
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): AI and Earnings Set Semiconductor Stocks on Record Rally: 5 Top Picks
- Impact: HIGH, Probability: 95%
- Management (2026-04-27): Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL
- Impact: MEDIUM, Probability: 60%
- Earnings (2026-04-27): With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-28): Nvidia: AI Transcends Semiconductors' Cyclical Nature
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Nvidia Shares Fall Amid Broader Chip Stock Selloff Linked to OpenAI Concerns
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative
- Impact: HIGH, Probability: 95%

Events to Monitor

- NVDA Expected Quarterly Earnings (2026-07-27)

Upcoming Catalysts:

- ▼ [EVENT] (Impact: medium)

▲ [EVENT] (Impact: medium)

▼ [EVENT] (Impact: medium)

▲ [EVENT] (Impact: medium)

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Positive Catalysts:

- ✓ Traders bet Nvidia's stock will return to record highs soon
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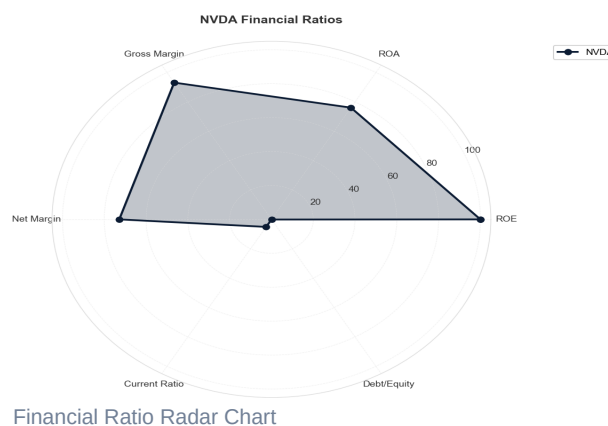
Risk Factors:

- Nvidia: AI Transcends Semiconductors' Cyclical Nature
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Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

NVIDIA Competitor Analysis

NVIDIA has emerged as the dominant force in the semiconductor industry, particularly in AI-driven compute, leaving peers AMD and Intel struggling to keep pace with its explosive growth trajectory.

In terms of revenue and profitability, NVIDIA's performance is in a league of its own. The company posted \$215.9 billion in revenue for fiscal 2026, representing a five-year CAGR of 68.3%, a figure that dwarfs anything AMD or Intel has achieved in recent years. NVIDIA's EBITDA margin expanded from 42.2% in 2022 to 66.9% in 2026, reflecting extraordinary operating leverage. By contrast, AMD generated approximately \$7.3 billion in EBITDA in 2025, a fraction of NVIDIA's \$86.1 billion, while Intel's EBITDA collapsed to just \$1.2 billion in 2024 before partially recovering, signaling deep structural challenges related to its foundry transition and competitive losses.

On valuation, NVIDIA trades at an EV/EBITDA of roughly 33.8x for 2025, a premium to AMD at 47.8x on a forward basis and Intel at 14.5x. Intel's lower multiple reflects investor skepticism about its recovery, while AMD's elevated multiple suggests the market is pricing in a meaningful AI acceleration story, though AMD has yet to demonstrate NVIDIA's scale or margin profile.

NVIDIA's SG&A; efficiency is also notable, with SG&A; as a percentage of revenue declining from 8.0% in 2022 to 2.1% in 2026, underscoring how its cost structure scales favorably with revenue growth.

Overall, NVIDIA commands a commanding competitive and financial advantage over both AMD and Intel, with its lead widening as AI infrastructure spending accelerates globally.

Risk Factors

■ # NVIDIA Corporation (NVDA) - Key Investment Risks

■ **Revenue Growth Deceleration:** Revenue growth is projected to collapse from 65.5% (2026A) to just 4-6% (2026E-2027E), signaling potential market saturation in AI/data center demand and raising concerns about whether current premium valuations (~32-36x PE) are sustainable at single-digit growth rates

■ **Margin Compression Vulnerability:** Despite improving EBITDA margins (~73.5% projected by 2027E), Cost of Operations has grown disproportionately from \$9.4B (2022) to \$62.5B (2026), suggesting significant fixed cost exposure; any demand softening could rapidly erode profitability given this elevated cost base

■ **Elevated Valuation vs. Peers:** NVDA trades at EV/EBITDA of 31-34x versus AMD's historical range of 17-57x and Intel's compressed multiples, leaving limited margin of safety; a multiple re-rating toward peer averages (~20x) could represent 40%+ downside to current equity value

■ **Customer Concentration & Demand Cyclicity:** Hyper-scale AI capex driving NVDA's explosive growth (~\$130B→\$216B revenue) is heavily dependent on a handful of cloud providers; any pullback in AI infrastructure spending or CapEx rationalization poses outsized revenue risk given NVDA's ~65% data center revenue dependency

■ **Competitive & Geopolitical Pressure:** AMD's EBITDA is projected to grow to \$8.6B by 2027 alongside Intel's recovery to \$47.4B, indicating intensifying competitive dynamics; compounded by U.S. export restrictions on advanced chips to China, NVDA faces structural revenue ceiling risks in a key growth market

Key Takeaways

- ✓ **Revenue Growth:** NVIDIA Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** NVIDIA Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** NVIDIA Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** NVIDIA Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	N/A	0.2%	125.9%	114.2%	65.5%
EPS	0.39	0.18	1.21	2.97	4.93
PE Ratio	62.68	109.09	51.83	39.90	37.75

Credit & Cash Flow Metrics

Metric	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x
Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.65	3.52	4.17	4.44	3.91
CF to Debt Ratio	0.77	0.47	2.54	6.24	9.00

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Data Source: FMP, Company Filings, AI4Finance Estimates

Report Generated: 2026-04-28 18:07 ET | AI4Finance Foundation FinRobot Equity Research